

## Annexure - III

# Business Responsibility & Sustainability Report

## SECTION A: GENERAL DISCLOSURES\*

### I. Details of the listed entity

|     |                                                                                                                                                                                                                                                                   |                                                                                                        |
|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| 1.  | Corporate Identity Number (CIN) of the Listed Entity                                                                                                                                                                                                              | L65910DL1986GOI026363                                                                                  |
| 2.  | Name of the Listed Entity                                                                                                                                                                                                                                         | Indian Railway Finance Corporation Limited                                                             |
| 3.  | Year of incorporation                                                                                                                                                                                                                                             | December 12, 1986                                                                                      |
| 4.  | Registered office address                                                                                                                                                                                                                                         | UG - Floor, East Tower, NBCC Place, Bhisham Pitamah Marg, Pragati Vihar, Lodhi Road, New Delhi- 110003 |
| 5.  | Corporate address                                                                                                                                                                                                                                                 | Same as above                                                                                          |
| 6.  | E-mail                                                                                                                                                                                                                                                            | <a href="mailto:investors@irfc.co.in">investors@irfc.co.in</a>                                         |
| 7.  | Telephone                                                                                                                                                                                                                                                         | 011-24361480                                                                                           |
| 8.  | Website                                                                                                                                                                                                                                                           | <a href="https://irfc.co.in">https://irfc.co.in</a>                                                    |
| 9.  | Financial year for which reporting is being done                                                                                                                                                                                                                  | FY 2023-24                                                                                             |
| 10. | Name of the Stock Exchange(s) where shares are listed                                                                                                                                                                                                             | National Stock Exchange of India Limited (NSE)<br>BSE Limited (BSE)                                    |
| 11. | Paid-up Capital                                                                                                                                                                                                                                                   | ₹ 13,068.50 Crores (As on 31 <sup>st</sup> March 2024)                                                 |
| 12. | Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report                                                                                                                                  | Chairman & Managing Director<br>011-24361480<br><a href="mailto:cmd@irfc.co.in">cmd@irfc.co.in</a>     |
| 13. | Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together) | The disclosures are made in this report on a standalone basis.                                         |
| 14. | Name of assurance provider                                                                                                                                                                                                                                        | JointValues ESG Services Pvt. Ltd.                                                                     |
| 15. | Type of assurance obtained                                                                                                                                                                                                                                        | Reasonable                                                                                             |

\*Disclosure on the 9 core attributes as per BRSR core format of SEBI is being covered within this BRSR of the Company.

### II. Products/services

#### 16. Details of business activities (accounting for 90% of the turnover):

| S. No. | Description of Main Activity                                                        | Description of Business Activity | % of Turnover of the entity |
|--------|-------------------------------------------------------------------------------------|----------------------------------|-----------------------------|
| 1.     | Other financial service activities, except insurance and pension funding activities | Financial leasing                | 97.67%                      |

#### 17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

| S. No. | Product/Service                                       | NIC Code | % of total Turnover contributed |
|--------|-------------------------------------------------------|----------|---------------------------------|
| 1.     | Other financial service activities- Financial Leasing | 64910    | 97.67%                          |

### III. Operations

#### 18. Number of locations where plants and/or operations/offices of the entity are situated:

| Location      | Number of plants | Number of offices | Total |
|---------------|------------------|-------------------|-------|
| National      | -*               | 01                | 01    |
| International | -                | -                 | -     |

\* - Means NIL

#### 19. Markets served by the entity\*:

##### a. Number of locations

| Locations                        | Number |
|----------------------------------|--------|
| National (No. of States & UT)    | 36     |
| International (No. of Countries) | -      |

\*Company is receiving Lease & Interest income from India

##### b. What is the contribution of exports as a percentage of the total turnover of the entity?

The Company is registered as a Systemically Important Non-Deposit taking Non-Banking Financial Company (NBFC –ND-SI) and Infrastructure Finance Company (NBFC- IFC) with Reserve Bank of India (RBI). The contribution of exports to the turnover of the Company was Nil for the financial year 2023-24.

##### c. A brief on types of customers

IRFC a Govt. of India undertaking under the Ministry of Railways (MoR) plays a significant role in funding the Indian Railways. The primary objective of IRFC is to meet the predominant portion of 'Extra Budgetary Resources' (EBR) requirement of the Indian Railways through market borrowings at the most competitive rates and terms. The Company's principal business therefore is to borrow funds from the financial markets to finance the acquisition / creation of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR.

### IV. Employees

#### 20. Details as at the end of Financial Year:

##### a. Employees and workers (including differently abled)\*:

| S. No.     | Particulars              | Total (A) | Male    |           | Female  |           |
|------------|--------------------------|-----------|---------|-----------|---------|-----------|
|            |                          |           | No. (B) | % (B / A) | No. (C) | % (C / A) |
| EMPLOYEES* |                          |           |         |           |         |           |
| 1.         | Permanent (D)            | 42        | 33      | 79%       | 9       | 21%       |
| 2.         | Other than Permanent (E) | -         | -       | -         | -       | -         |
| 3.         | Total employees (D + E)  | 42        | 33      | 79%       | 9       | 21%       |
| WORKERS*   |                          |           |         |           |         |           |
| 4.         | Permanent (F)            | -         | -       | -         | -       | -         |
| 5.         | Other than Permanent (G) | -         | -       | -         | -       | -         |
| 6.         | Total workers (F + G)    | -         | -       | -         | -       | -         |

\*Considered regular permanent employees

## b. Differently abled Employees and workers:

| S. No.                      | Particulars                                      | Total (A) | Male      |             | Female   |           |
|-----------------------------|--------------------------------------------------|-----------|-----------|-------------|----------|-----------|
|                             |                                                  |           | No. (B)   | % (B / A)   | No. (C)  | % (C / A) |
| DIFFERENTLY ABLED EMPLOYEES |                                                  |           |           |             |          |           |
| 1.                          | Permanent (D)                                    | 01        | 01        | 100%        | -        | -         |
| 2.                          | Other than Permanent (E)                         | -         | -         | -           | -        | -         |
| 3.                          | <b>Total differently abled employees (D + E)</b> | <b>01</b> | <b>01</b> | <b>100%</b> | <b>-</b> | <b>-</b>  |
| DIFFERENTLY ABLED WORKERS   |                                                  |           |           |             |          |           |
| 4.                          | Permanent (F)                                    | -         | -         | -           | -        | -         |
| 5.                          | Other than Permanent (G)                         | -         | -         | -           | -        | -         |
| 6.                          | <b>Total differently abled workers (F + G)</b>   | <b>-</b>  | <b>-</b>  | <b>-</b>    | <b>-</b> | <b>-</b>  |

## 21. Participation/Inclusion/Representation of women

|                           | Total (A) | No. and percentage of Females |           |
|---------------------------|-----------|-------------------------------|-----------|
|                           |           | No. (B)                       | % (B / A) |
| Board of Directors        | 6         | 3                             | 50%       |
| Key Management Personnel* | 4         | 2                             | 50%       |

\*Key Management Personnel (KMP) includes CMD (Addnl. Charge), Director (Finance), Chief Financial Officer (CFO) and Company Secretary (CS).

## 22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

| Particulars         | FY 2023-24 |        |       | FY 2022-23 |        |       | FY 2021-22 |        |       |
|---------------------|------------|--------|-------|------------|--------|-------|------------|--------|-------|
|                     | Male       | Female | Total | Male       | Female | Total | Male       | Female | Total |
| Permanent Employees | 4.88%      | -      | 4.88% | 2.56%      | -      | 2.56% | -          | 3.03%  | 3.03% |
| Permanent Workers   | -          | -      | -     | -          | -      | -     | -          | -      | -     |

## V. Holding, Subsidiary and Associate Companies (including joint ventures)

## 23. (a) Names of holding / subsidiary / associate companies / joint ventures

| S. No. | Name of the holding/ subsidiary / associate companies/ joint ventures (A) | Indicate whether holding/ Subsidiary/ Associate/ Joint Venture | % of shares held by listed entity | Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No) |
|--------|---------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------|
|        | NIL                                                                       | NIL                                                            | NIL                               | NIL                                                                                                                          |

## VI. CSR Details

## 24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover (in ₹): ₹ 26,644.58 Crores

(iii) Net worth (in ₹): ₹ 49,178.57 Crores

## VII. Transparency and Disclosures Compliances

### 25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

| Stakeholder group from whom complaint is received | Grievance Redressal Mechanism in Place (Yes/No)<br>(If Yes, then provide web-link for grievance redress policy)        | FY 2023-24                                 |                                                              |                                                                                                                                                                                    | FY 2022-23                                 |                                                              |                                                                                                                |
|---------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
|                                                   |                                                                                                                        | Number of complaints filed during the year | Number of complaints pending resolution at close of the year | Remarks                                                                                                                                                                            | Number of complaints filed during the year | Number of complaints pending resolution at close of the year | Remarks                                                                                                        |
| Communities                                       | Yes<br><a href="https://pgportal.gov.in/">https://pgportal.gov.in/</a>                                                 | 13                                         | -                                                            | -                                                                                                                                                                                  | 15                                         | -                                                            | -                                                                                                              |
| Investors (other than shareholders)               | Yes<br><a href="https://irfc.co.in/investors/investor-contact">https://irfc.co.in/investors/investor-contact</a>       | 1262                                       | -                                                            | These complaints pertains to bond/debenture holders.                                                                                                                               | 2051                                       | -                                                            | These complaints pertains to bond/debenture holders.                                                           |
| Shareholders                                      | Yes<br><a href="https://irfc.co.in/investors/investor-grievances">https://irfc.co.in/investors/investor-grievances</a> | 1083                                       | -                                                            | These complaints are tracked through SEBI Scores portal, NSE & BSE investor complaint center, Smart ODR portal, Online portal for complaints and Grievances IRFC, emails, letters. | 435                                        | -                                                            | These complaints are tracked through SEBI Scores portal, NSE & BSE investor complaint center, emails, letters. |
| Employees and workers                             | Yes Accessible to Employees through intranet                                                                           | -                                          | -                                                            | -                                                                                                                                                                                  | -                                          | -                                                            | -                                                                                                              |
| Customers                                         | -                                                                                                                      | -                                          | -                                                            | -                                                                                                                                                                                  | -                                          | -                                                            | -                                                                                                              |
| Value Chain Partners                              | -                                                                                                                      | -                                          | -                                                            | -                                                                                                                                                                                  | -                                          | -                                                            | -                                                                                                              |
| Other (please specify)                            | -                                                                                                                      | -                                          | -                                                            | -                                                                                                                                                                                  | -                                          | -                                                            | -                                                                                                              |

## 26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

| S. No. | Material issue identified                                                                                                               | Indicate whether risk or opportunity (R/O) | Rationale for identifying the risk/ opportunity                                                                                                                                           | In case of risk, approach to adapt or mitigate | Financial implications of the risk or opportunity (Indicate positive or negative implications)                 |
|--------|-----------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| 1.     | Financing for green Initiative of Indian Railways - Shift from conventional to electrical locomotive, electrification of railway tracks | Opportunity                                | Towards achieving India's commitment of NET ZERO carbon by 2070.                                                                                                                          | -                                              | IRFC shall experience Positive financial implication due to additional Revenue from such financing.            |
| 2.     | Shifting to paperless environment to further the sustainability                                                                         | Opportunity                                | Shifting to digital means of Communication, e – filing system & record management which shall enhance speed, accuracy, efficiency, cost saving, accountability & preservation of records. | -                                              | IRFC shall experience positive financial implication due to cost saving & increase in swiftness of operations. |

## SECTION B:

## MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

| Disclosure Questions                   |                                                                                                                                                                                                                                                         | P1                                                                                                                                                                                                                                                                                                                                                                                                                                                | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|
| <b>Policy and management processes</b> |                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                   |    |    |    |    |    |    |    |    |
| 1.                                     | a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)                                                                                                                                             | Y                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Y* | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
|                                        | b. Has the policy been approved by the Board? (Yes/No)                                                                                                                                                                                                  | Y                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Y* | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
|                                        | c. Web Link of the Policies, if available                                                                                                                                                                                                               | **                                                                                                                                                                                                                                                                                                                                                                                                                                                | ** | ** | ** | ** | ** | ** | ** | ** |
| 2.                                     | Whether the entity has translated the policy into procedures. (Yes / No)                                                                                                                                                                                | Y                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 3.                                     | Do the enlisted policies extend to your value chain partners? (Yes/No)                                                                                                                                                                                  | Y                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 4.                                     | Name of the national and international codes/certifications/ labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trusts) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle. | Y                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 5.                                     | Specific commitments, goals and targets set by the entity with defined timelines, if any.                                                                                                                                                               | The Company being CPSE enters Memorandum of Understanding (MoU) with Ministry of Railways (MoR) every year under the framework prescribed in MoU Guidelines issued by the Department of Public Enterprises (DPE), wherein Company is evaluated on various financial and non-financial parameters. For the financial year 2022-23, based on its performance, the Company has been rated 'Excellent' by the Department of Public Enterprises (DPE). |    |    |    |    |    |    |    |    |
| 6.                                     | Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                   |    |    |    |    |    |    |    |    |

| Disclosure Questions                        |                                                                                                                                                                                                                    | P1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|
| <b>Governance, leadership and oversight</b> |                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |    |    |    |    |    |    |    |    |
| 7.                                          | Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure) | <p>The Company is committed to developing a suitable ESG framework for the organization. The Board approved ESG Policy covering focus areas, targets, challenges etc, is in place. The ESG policy framework serves as a guiding document for all ESG initiatives and activities undertaken by IRFC. This framework covers IRFC's operations. As per the credit policy of the Company, the evaluation of the project covers the Environmental Appraisal aspect. The analysis of environmentally sensitive projects will address several issues like measurement of environmental impact, cost- benefit analysis, assessment of alternative strategy etc. IRFC follows procurement guidelines for procurement of goods and services. The Company has a comprehensive risk management policy which essentially covers Business Continuity and disaster management Plan. Currently, IRFC has set up a data center where all the applications are hosted. Regular backup of all the critical data is being taken as per the policy of the organization. IRFC has already set up disaster recovery site. The HR Policies of the Company ensure holistic employee wellbeing and benefits, career progression, adequate training, safety and encouragement for women employees and well-defined grievance redressal mechanism, thus ensuring proper governance.</p> |    |    |    |    |    |    |    |    |
| 8.                                          | Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).                                                                                         | The Board of Directors of the Company, led by the Chairman & Managing Director, is the highest authority, instrumental to protect and enhance stakeholders value. In the capacity of trustees, the Board ensures that the Company has a clear vision, mission and goals to fulfil and exceed the expectations of its stakeholders.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |    |    |    |    |    |    |    |    |
| 9.                                          | Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.                                           | Board of Directors of the Company are responsible for decision making on sustainability related issues.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |    |    |    |    |    |    |    |    |

Note:

(\*) IRFC being NBFC, this principle has limited applicability.

(\*\*) The relevant explanation/information/links are mentioned in the ANNEXURE to BRSR.

#### 10. Details of Review of NGRBCs by the Company:

| Subject for Review                                                                                               | Indicate whether review was undertaken by Director / Committee of the Board/Any other Committee                                                                                     | Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify) |    |    |    |    |    |    |    |    |
|------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|----|----|----|----|----|----|----|----|
|                                                                                                                  |                                                                                                                                                                                     | P1                                                                       | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
| Performance against above policies and follow up action                                                          | The efficacy of the policies is reviewed on need basis and necessary changes to policies in accordance with applicable law and procedures are implemented.                          |                                                                          |    |    |    |    |    |    |    |    |
| Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances | Compliance of the various applicable laws and regulations is placed before the Board of Directors subsequent to the compliance certificate is signed by all the Departmental Heads. |                                                                          |    |    |    |    |    |    |    |    |

|                                                                                                                                                                       | P1                                                                                                                                                                                                                                                                                                                                                                                          | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|
| 11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency. | From a best practices perspective as well as from a risk perspective, policies are periodically evaluated and updated by various departmental heads and approved by the Board of Directors/ Chairman & Managing Director. An internal assessment of the working of the policies is done regularly. Also, some of the policies has been evaluated by the Secretarial Auditor of the Company. |    |    |    |    |    |    |    |    |

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated: Not applicable

## SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

### PRINCIPLE 1

**Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.**

#### Essential Indicators

- Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

| Segment                          | Total Number of training and awareness programmes held | Topics/principles covered under the training and its impact                                                                              | %age of persons in respective category covered by the awareness programmes |
|----------------------------------|--------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| Board of Directors               | 1                                                      | Familiarization programme for Independent Directors (organized by IICA)                                                                  | 100%                                                                       |
| Key Managerial Personnel         | 2                                                      | Experiential Learning Programme                                                                                                          | 100%                                                                       |
| Employees other the BOD and KMPs | 38                                                     | Various technical and financial topics including experiential learning and personal effectiveness which are relevant for day to day work | 100%                                                                       |
| Workers                          | -                                                      | -                                                                                                                                        | -                                                                          |

- Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity’s website):

| Monetary        |                 |                                                                   |                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                        |
|-----------------|-----------------|-------------------------------------------------------------------|---------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|
|                 | NGRBC Principle | Name of the regulatory/ enforcement agencies/judicial institution | Amount (In ₹)                                                 | Brief of the Case                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Has an appeal been preferred? (Yes/No) |
| Penalty/ Fine   | Principle 1     | 1. National Stock Exchange of India Limited<br><br>2. BSE Limited | NSE & BSE each levied fine of ₹ 21,53,500/- during FY 2023-24 | For the financial year ended on March 31, 2024, the Company has complied with all requirements of SEBI (LODR) Regulations, 2015, the Companies Act, 2013 and rules made thereunder, applicable Secretarial Standards issued by ICSI and DPE Guidelines on Corporate Governance, as amended from time to time, except the number of Independent Directors on the Board were less than half of the total strength of Board as required under Regulation 17(1) of SEBI(LODR) Regulations, 2015. Due to such non-compliances, NSE and BSE each imposed a fine of ₹ 21,53,500/- (including GST of ₹ 3,28,500/-).It is pertinent to mention that in earlier instances of non-compliance of similar nature, BSE & NSE had already waived fine imposed on Company on the similar ground for the period of March, 2021 to December, 2021. | Yes                                    |
| Settlement      | -               | -                                                                 | -                                                             | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | -                                      |
| Compounding Fee | -               | -                                                                 | -                                                             | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | -                                      |

| Non-Monetary |                 |                                                                     |                   |                                        |
|--------------|-----------------|---------------------------------------------------------------------|-------------------|----------------------------------------|
|              | NGRBC Principle | Name of the regulatory/ enforcement agencies/ judicial institutions | Brief of the Case | Has an appeal been preferred? (Yes/No) |
| Imprisonment | -               | -                                                                   | -                 | -                                      |
| Punishment   | -               | -                                                                   | -                 | -                                      |

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

| Case Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Name of the regulatory/ enforcement agencies/ judicial institutions      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| <p>In connection with fine(s) levied by NSE and BSE pertaining to the composition of the Board, this is to mention that the power to appoint functional/ Official Part-time Directors/ non-Official Part time Directors (Independent Directors) vests with the Government of India. The appointment of Directors in IRFC is made by the President of India through administrative ministry i.e., Ministry of Railways (MoR) and Company has no role to play in it and the non-compliance is beyond the control of the IRFC. Therefore, the Company has been requesting the appointing authority, i.e., MoR, for appointment of Directors including requisite number of Independent Directors.</p> <p>In view of the above, the Company has requested / is requesting the stock exchanges not to levy fine (s) and waive off the fines already imposed.</p> <p>It is pertinent to mention that in earlier instances of non-compliance of similar nature, BSE &amp; NSE had already waived fine imposed on Company on the similar ground for the period of March, 2021 to December, 2021.</p> <p>The Company is following up with the Stock Exchanges for waiving off the fine(s) w.r.t FY 2022-23 and 2023-24 as well.</p> | <p>1. National Stock Exchange of India Limited</p> <p>2. BSE Limited</p> |

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

IRFC being CPSE follows procedures and norms of CVC regarding anti-corruption and anti-bribery and also the PIDPI Resolution (GOI Resolution on Public Interest Disclosure and Protection of Informers) relating to complaints for disclosure on any allegation of corruption or misuse of office wherein CVC is Designated Agency. Apart from the above, IRFC has also adopted Whistle Blower Policy, which is hosted at <https://irfc.co.in/sites/default/files/inline-files/2.%20Whistle-Blower-Policy.pdf>.

Further, Code of Business Conduct & Ethics, which captures the behavioral and ethical standards to be followed by the Board Members and Senior Management Personnel of the Company also, sets forth an obligation to strive continuously to bring about integrity and transparency in all spheres of the activities & Work unstintingly for eradication of corruption in all spheres of life, which is hosted at <https://irfc.co.in/sites/default/files/inlinefiles/Code%20of%20Business%20Conduct%20and%20Ethics%20for%20Board%20Members%20and%20Senior%20Management.pdf>

The Company also has a Whistle Blower Policy for Directors and Employees to report their genuine concerns or grievances about unethical behavior, actual or suspected fraud or to detect and report any improper activity within the Company.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

| Particulars | FY 2023-24 | FY 2022-23 |
|-------------|------------|------------|
| Directors   | -          | -          |
| KMPs        | -          | -          |
| Employees   | -          | -          |
| Workers     | -          | -          |

## 6. Details of complaints with regard to conflict of interest:

|                                                                                              | FY 2023-24 |         | FY 2022-23 |         |
|----------------------------------------------------------------------------------------------|------------|---------|------------|---------|
|                                                                                              | Number     | Remarks | Number     | Remarks |
| Number of complaints received in relation to issues of Conflict of Interest of the Directors | -          | -       | -          | -       |
| Number of complaints received in relation to issues of Conflict of Interest of the KMPs      | -          | -       | -          | -       |

## 7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable

## 8. Number of days of accounts payables ((Accounts payable \*365) / Cost of goods/services procured) in the following format:

| Particulars                        | FY 2023-24 | FY 2022-23 |
|------------------------------------|------------|------------|
| Number of days of Accounts Payable | NIL*       | NIL*       |

\*IRFC being a NBFC and dedicating financing arm of the Indian Railways for mobilizing funds from domestic as well as overseas Capital Markets, accordingly, the company doesn't have the outstanding trade payable, however, the aging schedule of other payables is disclosed in Note No. 14 to accounts.

## 9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

| Parameter                  | Metrics                                                                                 | FY 2023-24                                              | FY 2022-23     |
|----------------------------|-----------------------------------------------------------------------------------------|---------------------------------------------------------|----------------|
| Concentration of Purchases | a. Purchases from trading houses as % of total purchases                                | NA*                                                     | NA             |
|                            | b. Number of trading houses where purchases are made from                               |                                                         |                |
|                            | c. Purchases from top 10 trading houses as % of total purchases from trading houses     |                                                         |                |
| Concentration of Sales     | a. Sales to dealers /distributors as % of total sales                                   | NA                                                      | NA             |
|                            | b. Number of dealers / distributors to whom sales are made                              |                                                         |                |
|                            | c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors |                                                         |                |
| Share of RPTs in           | a. Purchases (Purchases with related parties /Total Purchases)                          | NA**                                                    | NA**           |
|                            | b. Sales (Sales to related parties / Total Sales)                                       | NA**                                                    | NA**           |
|                            | c. Loans & advances (Loans & advances given to related parties/ Total loans & advances) | 1.064% (4,944.508 crores/ AUM i.e., 4,64,641.28 crores) | Loans to RVNL  |
|                            | d. Investments (Investments in related parties/ Total Investments made)                 | 100% (53.595 crores/53.595 crores)                      | (IRCON SHARES) |

\*NA means Not Applicable

\*\*IRFC is working on finance lease model.

## Leadership Indicators

- Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

| Total number of awareness programmes held | Topics/Principles covered under the training                                              | % age of value chain partners covered (by value of business done with such partners) under the awareness programmes |
|-------------------------------------------|-------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| 2                                         | Insights about the benefit available for the MSE's vendor and building good relationships | 100%                                                                                                                |

- Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No)  
If Yes, provide details of the same.

The Company has a Code of Conduct for Board Members and Senior Management, which covers inter-alia the process of dealing with conflict of interests. The Policy is available at <https://irfc.co.in/sites/default/files/inline-files/Code%20of%20Business%20Conduct%20and%20Ethics%20for%20Board%20Members%20and%20Senior%20Management.pdf>

Further, whenever any director has a direct or indirect stake in an agenda/matter, they would refrain from participating in the discussion. Also, in accordance with laid down provisions of Companies Act, 2013 and SEBI Regulations each director gives the disclosure of his interest in any Company or body's corporate firm, or other association of individuals by giving a notice in writing on annual basis (changes from time to time); and the same is put up to the board.

## PRINCIPLE 2

**Businesses should provide goods and services in a manner that is sustainable and safe**

### Essential Indicators

- Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

| Particulars | Current Financial Year | Previous Financial Year | Details of improvements in environmental and social impacts                                            |
|-------------|------------------------|-------------------------|--------------------------------------------------------------------------------------------------------|
| R&D         | -                      | -                       | -                                                                                                      |
| Capex       | -                      | -                       | IRFC does not own any manufacturing facility, thus there are no particulars relating to R&D and Capex. |

- Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Considering the business activities of the Company, this question has limited applicability. Being NBFC, IRFC's resource use is mainly limited to electricity, office supplies and communication or IT equipment.

Being NBFC, IRFC is less resource-intensive in terms of material requirements. Despite the limited scope, IRFC ensures responsible sourcing of all its material requirements. The Company promotes GeM portal (Government e-Marketplace) in its procurements and promotes sourcing from MSME vendors. All procurement / sourcing of material and services is

done as per the procedure defined in the Procurement Guidelines of the Company.

- If yes, what percentage of inputs were sourced sustainably?

In terms of material requirements, IRFC has made it mandatory to procure common use goods & services available on GeM (Government e-Marketplace) portal, with purchase preference to MII/MSMEs as per Government directives. During the financial year 2023-24, Percentage (%) of procurement from MSME (including MSME owned by SC/ST entrepreneurs) out of total procurement is 77.52%

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Given the nature of business and operations, the Company does not have material plastic waste, e-waste and other waste. Further, the Company does not have any hazardous waste.

Disposal of old, unserviceable & obsolete IT equipment's, identified as e-waste, is done through registered Recyclers/ Re-processers under Central Pollution Control Board, Government of India & State Pollution Control Committee Board. Electronic waste, by following Procurement Guidelines of the Company.

The Company has also reduced plastic use to minimal and encourages use of substitutes such as jute bags, cloth bags etc.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Not Applicable, since IRFC is a NBFC and is not involved in manufacturing of any kind of product.

## Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)?

Being a NBFC categorized as IFC, the main products offered by IRFC include is to finance the acquisition of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR. We lend funds to MoR and other Railway Entities in order to fuel their growth plan. We have provided loans to Rail Vikas Nigam Limited (RVNL) and IRCON.

IRFC uses a leasing approach to fund Indian Railways' Rolling stock and project assets. The normal lease term is 30 years, with a primary component of 15 years and a secondary component of 15 years. During the primary lease period, the principal component and interest are recovered as part of the lease. Secondary lease period assets are normally transferred to the MoR for a nominal sum at the conclusion of the lease. We have a cost-plus leasing agreement with the Ministry of Railways, which ensures consistent growth in our income and profitability. MoR pays half-yearly lease rentals in advance, which include both principal repayment and interest. The details of leasing, lending and borrowing operations of the Company are available on the website of the Company at <https://irfc.co.in>.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

| Name of Product/ Service                              | Description of the risk/ concern                                                                           | Action Taken                                                                                                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------|------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Other financial service activities- Financial Leasing | No significant social or environmental concern / risk is envisaged from the Company's business activities. | IRFC is not a manufacturing Company. Further, as per the credit policy of the Company, the evaluation of the project covers the Environmental Appraisal aspect also. The analysis of environmentally sensitive projects will address several issues like measurement of environmental impact, cost- benefit analysis, assessment of alternative strategy etc. |

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Considering the nature of business and operations, the percentage of recycled or reused input material used by the Company is negligible.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

| Particulars                    | FY 2023-24 |          |                 | FY 2022-23 |          |                 |
|--------------------------------|------------|----------|-----------------|------------|----------|-----------------|
|                                | Re-Used    | Recycled | Safely Disposed | Re-Used    | Recycled | Safely Disposed |
| Plastics (including packaging) | -          | -        | -               | -          | -        | -               |
| E-waste                        | -          | -        | -               | -          | -        | *41             |
| Hazardous waste                | -          | -        | -               | -          | -        | -               |
| Other waste                    | -          | -        | -               | -          | -        | -               |

\* Denotes number of IT equipment units safely disposed.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.  
Not Applicable

### PRINCIPLE 3

Businesses should respect and promote the well-being of all employees, including those in their value chains

#### Essential Indicators

1. a. Details of measures for the well-being of employees\*

| Category                       | % of employees covered by |                  |         |                     |         |                     |         |                     |         |                     |         |
|--------------------------------|---------------------------|------------------|---------|---------------------|---------|---------------------|---------|---------------------|---------|---------------------|---------|
|                                | Total<br>(A)              | Health insurance |         | Accident insurance* |         | Maternity Benefits* |         | Paternity Benefits* |         | Day Care facilities |         |
|                                |                           | No. (B)          | % (B/A) | No. (C)             | % (C/A) | No. (D)             | % (D/A) | No. (E)             | % (E/A) | No. (F)             | % (F/A) |
| Permanent employees            |                           |                  |         |                     |         |                     |         |                     |         |                     |         |
| Male                           | 33                        | -                | -       | 33                  | 100     | -                   | -       | 33                  | 100     | -                   | -       |
| Female                         | 9                         | -                | -       | 9                   | 100     | 9                   | 100     | -                   | -       | -                   | -       |
| Total                          | 42                        | -                | -       | 42                  | 100     | 9                   | 100     | 33                  | 100     | -                   | -       |
| Other than Permanent employees |                           |                  |         |                     |         |                     |         |                     |         |                     |         |
| Male                           | -                         | -                | -       | -                   | -       | -                   | -       | -                   | -       | -                   | -       |
| Female                         | -                         | -                | -       | -                   | -       | -                   | -       | -                   | -       | -                   | -       |
| Total                          | -                         | -                | -       | -                   | -       | -                   | -       | -                   | -       | -                   | -       |

\*Considered Regular Permanent Employees & details are mentioned as per Policy Coverage.

- b. Details of measures for the well-being of workers:

| Category                     | % of workers covered by |                  |         |                    |         |                    |         |                    |         |                     |         |
|------------------------------|-------------------------|------------------|---------|--------------------|---------|--------------------|---------|--------------------|---------|---------------------|---------|
|                              | Total<br>(A)            | Health insurance |         | Accident insurance |         | Maternity Benefits |         | Paternity Benefits |         | Day Care facilities |         |
|                              |                         | No. (B)          | % (B/A) | No. (C)            | % (C/A) | No. (D)            | % (D/A) | No. (E)            | % (E/A) | No. (F)             | % (F/A) |
| Permanent Workers            |                         |                  |         |                    |         |                    |         |                    |         |                     |         |
| Male                         | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |
| Female                       | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |
| Total                        | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |
| Other than Permanent Workers |                         |                  |         |                    |         |                    |         |                    |         |                     |         |
| Male                         | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |
| Female                       | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |
| Total                        | -                       | -                | -       | -                  | -       | -                  | -       | -                  | -       | -                   | -       |

- c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

|                                                                             | FY 2023-24 | FY 2022-23 |
|-----------------------------------------------------------------------------|------------|------------|
| Cost incurred on well being measures as a % of total revenue of the Company | 0.0006%    | 0.0004%    |

2. Details of retirement benefits, for Current FY and Previous Financial Year.

| Particulars            |      | FY 2023-24                                        |                                               |                                                      | FY 2022-23                                        |                                               |                                                      |
|------------------------|------|---------------------------------------------------|-----------------------------------------------|------------------------------------------------------|---------------------------------------------------|-----------------------------------------------|------------------------------------------------------|
|                        |      | No of employees covered as a % of total employees | No of workers covered as a % of total workers | Deducted and deposited with the authority(Y/ N/N.A.) | No of employees covered as a % of total employees | No of workers covered as a % of total workers | Deducted and deposited with the authority(Y/ N/N.A.) |
| PF                     |      | 100%                                              | N.A.                                          | Yes                                                  | 100%                                              | N.A.                                          | Yes                                                  |
| Gratuity               |      | 100%                                              | N.A.                                          | Yes                                                  | 100%                                              | N.A.                                          | Yes                                                  |
| ESI                    |      | N.A.                                              | N.A.                                          | N.A.                                                 | N.A.                                              | N.A.                                          | N.A.                                                 |
| Others– please specify | NPS  | 100%                                              | N.A.                                          | Yes                                                  | 100%                                              | N.A.                                          | Yes                                                  |
|                        | PRMS | 100%*                                             | N.A.                                          | Yes                                                  | 100%*                                             | N.A.                                          | Yes                                                  |

\* subject to eligibility conditions prescribed by DPE.

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, the premises are accessible to differently abled employees, with lift facilities, ramps, wheelchair, accessible restrooms.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Being a CPSE, Company follows guidelines issued by Govt. of India in respect of PWD's from time to time.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

| Gender       | Permanent Employees |                | Permanent Workers   |                |
|--------------|---------------------|----------------|---------------------|----------------|
|              | Return to work rate | Retention Rate | Return to work rate | Retention Rate |
| Male         | 100%                | 100%           | -                   | -              |
| Female       | -                   | -              | -                   | -              |
| <b>Total</b> | <b>100%</b>         | <b>100%</b>    | -                   | -              |

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

|                                | Yes/No (If Yes, then give details of the mechanism in brief)                                                               |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| Permanent Workers              | -                                                                                                                          |
| Other than Permanent Workers   | -                                                                                                                          |
| Permanent Employees            | Yes. A detailed grievance redressal mechanism is in place and accessible to the employees of the Company through intranet. |
| Other than Permanent Employees | -                                                                                                                          |

**7. Membership of employees and worker in association(s) or Unions recognized by the listed entity:**

There is no association(s) or unions of employees of the Company.

**8. Details of training given to employees and workers\*:**

| Category  | FY 2023-24 |                               |        |                      |        | FY 2022-23 |                               |        |                      |        |
|-----------|------------|-------------------------------|--------|----------------------|--------|------------|-------------------------------|--------|----------------------|--------|
|           | Total (A)  | On Health and safety measures |        | On Skill Upgradation |        | Total (D)  | On Health and safety measures |        | On Skill Upgradation |        |
|           |            | No.(B)                        | %(B/A) | No.(C)               | %(C/A) |            | No.(E)                        | %(E/D) | No.(F)               | %(F/D) |
| Employees |            |                               |        |                      |        |            |                               |        |                      |        |
| Male      | 33         | -                             | -      | 33                   | 100    | 33         | -                             | -      | 15                   | 45.45% |
| Female    | 9          | -                             | -      | 8                    | 88.89  | 8          | -                             | -      | 4                    | 50.00% |
| Total     | 42         | -                             | -      | 41                   | 97.61  | 41         | -                             | -      | 19                   | 46.34% |
| Workers   |            |                               |        |                      |        |            |                               |        |                      |        |
| Male      | -          | -                             | -      | -                    | -      | -          | -                             | -      | -                    | -      |
| Female    | -          | -                             | -      | -                    | -      | -          | -                             | -      | -                    | -      |
| Total     | -          | -                             | -      | -                    | -      | -          | -                             | -      | -                    | -      |

\*Other than Board of Directors & Key Managerial Personnel (KMP)

**9. Details of performance and career development reviews of employees and worker:**

|                  | FY 2023-24 |           |            | FY 2022-23 |           |            |
|------------------|------------|-----------|------------|------------|-----------|------------|
|                  | Total(A)   | No.(B)    | %(B/A)     | Total(C)   | No.(D)    | %(D/C)     |
| <b>Employees</b> |            |           |            |            |           |            |
| Male             | 33         | 33        | 100        | 33         | 33        | 100        |
| Female           | 9          | 9         | 100        | 8          | 8         | 100        |
| <b>Total</b>     | <b>42</b>  | <b>42</b> | <b>100</b> | <b>41</b>  | <b>41</b> | <b>100</b> |
| <b>Workers</b>   |            |           |            |            |           |            |
| Male             | -          | -         | -          | -          | -         | -          |
| Female           | -          | -         | -          | -          | -         | -          |
| <b>Total</b>     | <b>-</b>   | <b>-</b>  | <b>-</b>   | <b>-</b>   | <b>-</b>  | <b>-</b>   |

**10. Health and safety management system:**

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Considering the nature of business and operations, the occupational health and safety issues are minimal. The Company takes care of health and well-being of its employees by reimbursing in-patient and out-patient medical costs, provision for leaves on medical grounds, rehabilitation policy in case of death or permanent disability, which are applicable for all employees.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Not applicable

- c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Not applicable

- d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

No

# 11. Details of safety related incidents, in the following format\*:

| Safety Incident/Number                                                        | Category  | FY 2023-24 | FY 2022-23 |
|-------------------------------------------------------------------------------|-----------|------------|------------|
| Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked) | Employees | NIL        | NIL        |
|                                                                               | Workers   |            |            |
| Total recordable work-related injuries                                        | Employees |            |            |
|                                                                               | Workers   |            |            |
| No. of fatalities                                                             | Employees |            |            |
|                                                                               | Workers   |            |            |
| High consequence work-related injury or ill - health (excluding fatalities)   | Employees |            |            |
|                                                                               | Workers   |            |            |

\*Company is NBFC.

# 12. Describe the measures taken by the entity to ensure a safe and healthy work place.

Company is committed to providing a safe and healthy workplace to ensure a culture of safety throughout the organization. Considering the nature of business and operations, the occupational health and safety issues are minimal. The Company takes care of health and well-being of its employees by reimbursing in-patient and out-patient medical costs, provision for leaves on medical grounds, rehabilitation policy in case of death or permanent disability, which are applicable for all employees.

# 13. Number of Complaints on the following made by employees and workers

|                    | FY 2023-24            |                                           |         | FY 2022-23            |                                           |         |
|--------------------|-----------------------|-------------------------------------------|---------|-----------------------|-------------------------------------------|---------|
|                    | Filed during the year | Pending resolution at the end of the year | Remarks | Filed during the year | Pending resolution at the end of the year | Remarks |
| Working Conditions | -                     | -                                         | -       | -                     | -                                         | -       |
| Health & Safety    | -                     | -                                         | -       | -                     | -                                         | -       |

# 14. Assessments for the year:

|                             | % of your plants and offices that were assessed (by entity or statutory authorities or third parties) |
|-----------------------------|-------------------------------------------------------------------------------------------------------|
| Health and safety practices | -                                                                                                     |
| Working conditions          | -                                                                                                     |

# 15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Not Applicable

## Leadership Indicators

# 1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N)

(A) Employees-Yes, the Company provides rehabilitation package in case of death or permanent disability to the employee and/or his/her family member.

(B) Worker- Not applicable.

# 2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company ensures timely deposit of statutory dues, obtaining of statutory clearances and meeting such other similar obligations as per statutory requirements etc.

# 3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

Nil for FY 2023-24 and FY 2022-23

**4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

The Company is a CPSE, which follows employment norms of DPE in cases of retirement or termination of employment. The Company also provides post-retirement medical benefits and other welfare measures to its retired employees.

**5. Details on assessment of value chain partners:**

None

**6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

Not Applicable

## PRINCIPLE 4

**Businesses should respect the interests of and be responsive to all its stakeholders**

### Essential Indicators

**1. Describe the processes for identifying key stakeholder groups of the entity.**

Yes, the Company has mapped its internal and external stakeholders. Internal stakeholders include employees and staff of the Company and external stakeholders include equity shareholders, bondholders, creditors, bankers, borrowers and customers from both public and private sectors, Governmental bodies and regulatory authorities including State Government(s), Reserve Bank of India, Ministry of Corporate Affairs, Securities and Exchange Board of India, Stock Exchanges etc.

**2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.**

| Stakeholder Group    | Whether identified as Vulnerable & Marginalized Group (Yes/ No) | Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other | Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify) | Purpose and scope of engagement including key topics and concerns raised during such engagement                                                                                                                   |
|----------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Shareholders         | No                                                              | Email/SMS/Website/Letters/ Telephone/ Newspaper etc.                                                                          | As and when Investors call is conducted and General Meetings etc.                    | Communication of financial results, adoption of financial statement and transaction of ordinary and special business from time to time.<br><br>Addressing requests/ grievances of shareholders from time to time. |
| Bondholders          | No                                                              | Email/SMS/Website/Letters/ Telephone/ Newspaper etc.                                                                          | As and when Required.                                                                | Allotment, Interest Servicing, Redemption Payment, Bond Certificate/Demat Credit. Addressing requests/grievances of bondholders from time to time.                                                                |
| Value Chain Partners | No                                                              | Email/SMS/Website/ Letters/ Telephone /GeM, workshops, Awareness programme and other portals of Government.                   | As and when Required.                                                                | Meetings were organized for relationship building updates on key developments in the Company & addressing their issues.                                                                                           |

| Stakeholder Group | Whether identified as Vulnerable & Marginalized Group (Yes/ No) | Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other | Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify) | Purpose and scope of engagement including key topics and concerns raised during such engagement                                                                                         |
|-------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Employees         | No                                                              | Direct interaction, notice board, social media, grievance redressal mechanism, e-mails and journals.                          | As and when Required.                                                                | Facilitating learning & development, communication of various policies, guidelines, aware about key developments in the Company and addressing their issues                             |
| Regulatory Bodies | No                                                              | MoUs, quarterly progress reports, annual reports, meetings                                                                    | On quarterly, Annual and Need based                                                  | Support government missions, Relationship building, Discussion On major investment plans, Discussions with regulatory bodies w.r.t. regulations, amendments, approvals and assessments. |

## Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The Company already has various Board-approved policies in place, to address the economic, and social topics relating to its business. The said policies have been developed over a period of time based on the inputs from relevant stakeholders.

Stakeholder consultations are typically undertaken by respective groups, business heads with relevant company officers. The feedbacks/identified issues of corporate concerns are escalated to the Board-level through various Board committees which overseas aspects like Business risk, CSR & Sustainability, Marketing Strategies & Information Technology Oversight, Planning & Projects, Dispute Settlement etc.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, stakeholder consultation is used to support the identification and management of environmental and social topics. IRFC recognizes the importance of proactive interaction with its stakeholders as it helps the company in

matching their expectation and Building stakeholder trust and confidence. Further, the company consults with its stakeholders on sustainability issues.

- a. IRFC has a well-defined CSR Policy in line with the Companies Act, 2013 and DPE Guidelines on CSR. In terms of DPE guidelines for the year 2023-24, which mandated CPSEs to spend on the theme of "Health & Nutrition", preferably in aspirational districts, against the same IRFC contributed around 67.27% towards "Health & Nutrition" of total CSR expenditure during the year.
- b. During the year 2023-24, IRFC undertook various projects in PAN India basis in the field of welfare of community such as providing healthcare facility by way of medical equipment, green energy initiatives, education, environment sustainability, contribution towards various Funds, measures for the benefit of armed forces veterans, war widows and their dependents, etc.

Within Community, the Company takes up specific community development programmes in various districts focusing on Aspirational districts (most backward districts in the country) as identified by NITI Ayog. The company is also undertaking special CSR programmes for Divyangjans, providing skill training to Unemployed youth /SC/ST/OBC/Women & EWS of the society.

- c. IRFC is socially conscious organization and fully endorses the nine principles of Global Compact enunciated by the United Nations Organization (UNO)

which encompass area of human rights, environment protection and labour rights. These principles of Global Compact are embedded in various organizational policies of the Company thereby facilitating their implementation in a natural way.

IRFC consistently strives towards meeting the expectation of the society through proper planning and decision making that will help in achieving a real and lasting reduction of social and economic disparities as well as protecting the environment. IRFC continues to support activities that aim at improving the quality of life of both present and future generations and at the same time safeguarding the capacity of the earth to support life in all its diversity.

### 3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalized stakeholder groups.

IRFC promotes procurement from MSMEs and extends certain facilities in its procurement procedures to registered MSMEs. IRFC has welfare-oriented policies for its employees, especially those who are vulnerable.

The Company makes efforts on a regular basis to reach out to those equity shareholders and bondholders, who have unclaimed / unpaid dividends amounts/shares or unclaimed redemption interest amounts lying with the Company, so that such investors do not miss out on getting their rightful dues.

## PRINCIPLE 5

**Businesses should respect and promote human rights**

### Essential Indicators

- Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

| Category               | FY 2023-24 |                                        |             | FY 2022-23 |                                        |             |
|------------------------|------------|----------------------------------------|-------------|------------|----------------------------------------|-------------|
|                        | Total (A)  | No. of employees / workers covered (B) | % (B / A)   | Total (C)  | No. of employees / workers covered (D) | % (D / C)   |
| <b>Employees</b>       |            |                                        |             |            |                                        |             |
| Permanent              | 42         | 42                                     | 100%        | 41         | 41                                     | 100%        |
| Other than permanent   | -          | -                                      | -           | -          | -                                      | -           |
| <b>Total Employees</b> | <b>42</b>  | <b>42</b>                              | <b>100%</b> | <b>41</b>  | <b>41</b>                              | <b>100%</b> |
| <b>Workers</b>         |            |                                        |             |            |                                        |             |
| Permanent              | -          | -                                      | -           | -          | -                                      | -           |
| Other than permanent   | -          | -                                      | -           | -          | -                                      | -           |
| <b>Total Workers</b>   | <b>-</b>   | <b>-</b>                               | <b>-</b>    | <b>-</b>   | <b>-</b>                               | <b>-</b>    |

\*Considered regular permanent employees

2. Details of minimum wages paid to employees and workers, in the following format\*:

| Category          | FY 2023-24 |                       |        |                        |         | FY 2022-23 |                       |        |                        |        |
|-------------------|------------|-----------------------|--------|------------------------|---------|------------|-----------------------|--------|------------------------|--------|
|                   | Total (A)  | Equal to Minimum Wage |        | More than Minimum Wage |         | Total (D)  | Equal to Minimum Wage |        | More than Minimum Wage |        |
|                   |            | No.(B)                | %(B/A) | No.(C)                 | % (C/A) |            | No.(E)                | %(E/D) | No.(F)                 | %(F/D) |
| Employees         |            |                       |        |                        |         |            |                       |        |                        |        |
| Permanent         | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Male              | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Female            | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Other- Permanent  | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Male              | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Female            | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Workers           |            |                       |        |                        |         |            |                       |        |                        |        |
| Permanent         | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Male              | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Female            | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Other - Permanent | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Male              | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |
| Female            | -          | -                     | -      | -                      | -       | -          | -                     | -      | -                      | -      |

\*The Company is a CPSE, which follows guidelines of DPE.

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

|                                  | Male   |                                                           | Female |                                                           |
|----------------------------------|--------|-----------------------------------------------------------|--------|-----------------------------------------------------------|
|                                  | Number | Median Remuneration/ salary/ wages of respective category | Number | Median Remuneration/ salary/ wages of respective category |
| Board of Directors (BoD)         | NA*    |                                                           |        |                                                           |
| Key Managerial Personnel         |        |                                                           |        |                                                           |
| Employees other than BoD and KMP |        |                                                           |        |                                                           |
| Workers                          | -      | -                                                         | -      | -                                                         |

\*In accordance with the notification dated June 05, 2015 issued by the Ministry of Corporate Affairs (MCA), Government of India, Government companies are exempted from complying with provisions of Section 197 of the Companies Act, 2013 read with the Rule 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 (including any statutory modification(s) or re-enactment thereof, for the time being in force). Accordingly, the calculation w.r.t. Median remuneration / salary /wages of Board of Directors (BoD), Key Managerial Personnel (KMP) & Employees are not provided.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

|                                                 | FY 2023-24 | FY 2022-23 |
|-------------------------------------------------|------------|------------|
| Gross wages paid to females as % of total wages | 25.45%     | 23.19%     |

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/ No)

- a) Yes, the Company is committed to provide equal employment opportunities without any discrimination on the grounds of disability, gender, caste, religion, race, state, background, colour, and maintaining a

work environment that is free from harassment based on the above considerations.

- b) Abiding by the provisions of the Minimum Wages Act 1971, the minimum wages paid to the employees and contractors are revised periodically. The salary paid to employees of all categories fulfils all norms of the Act as prescribed.

- c) Being a Government Company and a Central Public Sector Enterprise under the Ministry of Railways, its HR policies reflect the incorporation of Human Rights, which cover all the employees and relative aspects pertaining to Vendors/Suppliers/Contractors through contract conditions.
- d) Further, IRFC 'CDA Rules' also define the desirable and non-desirable acts and conduct for the employees. There is a laid down procedure for actions in case of non-compliance with the defined terms as well as for any inappropriate or unwelcome sexually oriented behaviour.
- e) The Company has a policy towards sexual harassment at the workplace, which has been implemented. All reported cases of sexual harassment are inquired into by an Internal Complaints Committee. Internal Complaints Committees (ICCs) have been constituted under the Sexual Harassment of Women at Workplace

(Prevention, Prohibition and Redressal) Act, 2013 to redress complaints received on sexual harassment. If proved, disciplinary action is taken in accordance with the Conduct, Discipline and Appeal Rules (CDA Rules) against the delinquent employee. To promote fair and equitable employment relationship, a scheme for Grievance Redressal of employees is also in place which ensures a time bound redressal of grievances.

- f) IRFC has a comprehensive Whistle Blower Policy in place enabling employees to report malpractices such as misuse or abuse of authority, fraud or suspected fraud, violation of Company rules, manipulations, and matters affecting the interests of the Company with necessary safeguards for the protection of the whistle blower.

**5. Describe the internal mechanisms in place to redress grievances related to human rights issues.**

Yes. As detailed above

**6. Number of complaints on the following made by employees and Workers:**

| Particulars                       | FY 2023-24            |                                       |         | FY 2022-23            |                                       |         |
|-----------------------------------|-----------------------|---------------------------------------|---------|-----------------------|---------------------------------------|---------|
|                                   | Filed during the year | Pending resolution at the end of year | Remarks | Filed during the year | Pending resolution at the end of year | Remarks |
| Sexual Harassment                 | -                     | -                                     | -       | -                     | -                                     | -       |
| Discrimination at workplace       | -                     | -                                     | -       | -                     | -                                     | -       |
| Child Labour                      | -                     | -                                     | -       | -                     | -                                     | -       |
| Forced Labour/Involuntary Labour  | -                     | -                                     | -       | -                     | -                                     | -       |
| Wages                             | -                     | -                                     | -       | -                     | -                                     | -       |
| Other human rights related issues | -                     | -                                     | -       | -                     | -                                     | -       |

**7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:**

|                                                                                                                                  | FY 2023-24 | FY 2022-23 |
|----------------------------------------------------------------------------------------------------------------------------------|------------|------------|
| Total complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH) | -          | -          |
| Complaints on POSH as % of female employees/ workers                                                                             | -          | -          |
| Complaints on POSH upheld                                                                                                        | -          | -          |

**8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.**

Pursuant to the Whistle Blower Policy of the Company, necessary mechanism has been put in place to provide protection to the complainant, wherever required. The Whistle Blower Policy is available at <https://irfc.co.in/sites/default/files/inline-files/2.%20Whistle-Blower-Policy.pdf>

IRFC believes that a sustainable organization rests on the foundation of ethics and respect for human rights. The Company ensures diversity and equal opportunities in workplace and upholds that career advancement is based on talent and performance.

**9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)**

The financial relationship of the Company with the Ministry of Railways is based on a Financial Lease arrangement, which is regulated by a standard lease agreement. Human rights requirements do not form part of said lease agreements. To protect the human rights of employees, IRFC has adopted employee- oriented policies, in line with the general laws and sound ethical practices.

**10. Assessments for the year:**

Nil

**11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.**

Not applicable

### Leadership Indicators

**1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.**

Not applicable

**2. Details of the scope and coverage of any Human rights due-diligence conducted.**

Not applicable

**3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?**

Yes, the premises are accessible to differently abled visitors, with lifts and ramps, wheelchair accessible restrooms.

**4. Details on assessment of value chain partners:**

Nil

**5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.**

Not Applicable

### PRINCIPLE 6

**Businesses should respect and make efforts to protect and restore the environment**

### Essential Indicators

**1. Details of total energy consumption (in Joules or multiples) and energy intensity:**

The total energy consumption done by IRFC at its own premises for the FY 2023-24 is 58,248 kwh. However, the energy intensity per rupee of turnover (crores) is 0.007, as since IRFC is a NBFC and is not involved in manufacturing of any kind of product.

Further, to save power, the Company purchases LED/ LCD monitors while replacing the old monitors. Employees are encouraged to keep their gadgets in power saving mode, wherever possible. The Company replaces its old electrical items, gadgets, etc. with power efficient units. The internal lightning of office by energy- efficient LED lights has helped to conserve electricity.

**2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.**

Not Applicable

**3. Provide details of the disclosures related to water.**

Nil, since IRFC is a NBFC and is not involved in manufacturing of any kind of product, therefore, its water intensity is negligible.

**4. Provide the details related to water discharged:**

Nil, since IRFC is a NBFC and is not involved in manufacturing of any kind of product, therefore, its water intensity is negligible.

**5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.**

Not Applicable

**6. Please provide details of air emissions (other than GHG emissions) by the entity.**

Not Applicable, since IRFC is a NBFC and is not involved in manufacturing of any kind of product, therefore, air emission is negligible.

**7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity:**

The total energy consumption done by IRFC at its own premises for the FY 2023-24 is 58,248 kwh. However, the energy intensity per rupee of turnover (crores) is 0.007, as since IRFC is a NBFC and is not involved in manufacturing of any kind of product.

Further, on account of electricity consumption that was 58,248 kwh, Company used the grid emission factor and total scope 2 emission for the reporting year is 46.5 tonnes.

**8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.**

Not Applicable. Indian Railways is working on a mission mode to become the largest Green Railways in the world, and is moving to become a 'net zero emitter' before 2030. It is planning to do so through investing in massive electrification, development of freight corridors, energy-efficient and carbon friendly technologies, harness potential of Solar energy etc. to reduce its carbon footprint. IRFC will continue to help MoR to support Governments commitments such as Paris Agreement on Climate Change and UN Sustainable Development Goals, via raising of resources under green framework.

**9. Provide details related to waste management by the entity\*:**

| Parameter                                                                                                                                                  | FY 2023-24   | FY 2022-23   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|--------------|
| <b>Total Waste generated (in metric tonnes)</b>                                                                                                            |              |              |
| Plastic waste (A)                                                                                                                                          | NIL          | NIL          |
| E-waste (B)                                                                                                                                                | NIL          | NIL          |
| Bio-medical waste (C)                                                                                                                                      | NIL          | NIL          |
| Construction and demolition waste (D)                                                                                                                      | NIL          | NIL          |
| Battery waste (E)                                                                                                                                          | NIL          | NIL          |
| Radioactive waste (F)                                                                                                                                      | NIL          | NIL          |
| Other Hazardous waste. Please specify, if any. (G)                                                                                                         | NIL          | NIL          |
| Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)                        | 46 kg**      | 75 kg**      |
| <b>Total (A+B + C + D + E + F + G + H)</b>                                                                                                                 | <b>46 kg</b> | <b>75 kg</b> |
| <b>Waste intensity per rupee of turnover (Total waste generated /Revenue from operations)</b>                                                              | NIL          | NIL          |
| <b>Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)</b> | NIL          | NIL          |
| <b>Waste intensity in terms of physical output</b>                                                                                                         | NIL          | NIL          |
| <b>Waste intensity (optional) – the relevant metric may be selected by the entity</b>                                                                      | NIL          | NIL          |
| <b>For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)</b>             |              |              |
| <b>Category of waste</b>                                                                                                                                   |              |              |
| (i) Recycled                                                                                                                                               | NIL          | NIL          |
| (ii) Re-used                                                                                                                                               | NIL          | NIL          |
| (iii) Other recovery operations                                                                                                                            | NIL          | NIL          |
| <b>Total</b>                                                                                                                                               | <b>NIL</b>   | <b>NIL</b>   |
| <b>For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)</b>                                          |              |              |
| <b>Category of waste</b>                                                                                                                                   |              |              |
| (i) Incineration                                                                                                                                           | NIL          | NIL          |
| (ii) Landfilling                                                                                                                                           | NIL          | NIL          |
| (iii) Other disposal operations                                                                                                                            | NIL          | NIL          |
| <b>Total</b>                                                                                                                                               | <b>NIL</b>   | <b>NIL</b>   |

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, IRFC has undertaken reasonable assurance for BRSR core parameters from M/s JointValues ESG Services Private Limited

\*Considering the nature of business, the Company does not generate any material waste.

\*\* The non-hazardous waste generated includes the paper waste which amounts to 46 KG (5% of total procurement considered). However, the waste intensity per rupee turnover(crores) is 0.0017. The waste is handed over to Delhi Municipality on daily basis and disposal of the same takes place by Delhi Municipality.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Disposal of old, un-serviceable & obsolete IT equipment, identified as e-waste, is done through registered recyclers/re-processors under Central Pollution Control Board and State Pollution Control Committee/Board, by following the procedure defined under IRFC's Procurement Guidelines.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

The Company is a NBFC. Its registered office is in New Delhi. Office of the Company is not located in ecologically sensitive area.

| S. No. | Location of operations/offices | Type of operations | Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any. |
|--------|--------------------------------|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| -      | -                              | -                  | -                                                                                                                                                           |
| -      | -                              | -                  | -                                                                                                                                                           |

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

IRFC being a NBFC, finances Indian Railways Extra Budgetary Requirements (EBR). In the past, IRFC has also raised resources from off-shore market through issuance of Green Bonds. IRFC will continue to help MoR to support Governments commitments such as Paris Agreement on Climate Change and UN Sustainable Development Goals, via raising of resources under green framework.

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

IRFC is not a manufacturing company. Hence, the given question has limited relevance. However, the Company complies with applicable environmental regulations in respect of its premises and operations. The Company also does Environment appraisal to analyze any detrimental environmental impact and how to mitigate the same. The factors include the water, air, land, sound, geographical location. The analysis of environmentally sensitive projects addresses several issues like measurement of environmental impact, cost-benefit analysis, assessment of alternative strategy etc.

| S. No. | Specify the law / regulation/ guidelines which was not complied with | Provide details of the non- compliance | Any fines / penalties /action taken by regulatory agencies such as pollution control boards or by courts | Corrective action taken, if any |
|--------|----------------------------------------------------------------------|----------------------------------------|----------------------------------------------------------------------------------------------------------|---------------------------------|
| -      | -                                                                    | -                                      | -                                                                                                        | -                               |
| -      | -                                                                    | -                                      | -                                                                                                        | -                               |

## Leadership Indicators

1. **Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):**

Not Applicable

2. **Please provide details of total Scope 3 emissions & its intensity:**

Not Applicable

3. **With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.**

Not Applicable

4. **If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives:**

IRFC had awarded the contract for implementation of ERP in IRFC including servers for cloud hosting and disaster recovery to M/s RailTel Corporation Ltd. IRFC had gone live with eFile & HRMS module. ERP implementation has minimized paper consumption and manual processes.

5. **Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.**

The Company has a comprehensive risk management policy, which essentially covers Business Continuity and disaster management Plan. Currently, IRFC has already set up a disaster recovery site where all the applications are hosted. Regular backup of all the critical data is being taken as per the policy of the organization.

6. **Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.**

IRFC a Govt. of India undertaking under the Ministry of Railways plays a significant role in funding the Indian Railways -"the national operator of railway system". The primary objective of IRFC is to meet the predominant portion of 'Extra Budgetary Resources' (EBR) requirement of the Indian Railways through market borrowings at the most competitive rates and terms. The Company's principal business therefore is to borrow funds from the financial markets to finance the acquisition / creation of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR like Rail Vikas Nigam Ltd, IRCON.

7. **Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.**

None

## PRINCIPLE 7

**Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent**

## Essential Indicators

1. a. **Number of affiliations with trade and industry chambers/ associations.**

NIL

- b. **List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.**

| S. No. | Name of the trade and industry chambers/ associations | Reach of trade and industry chambers/ associations (State/ National) |
|--------|-------------------------------------------------------|----------------------------------------------------------------------|
| -      | -                                                     | -                                                                    |
| -      | -                                                     | -                                                                    |

Further, the Company ensures to protect the interest of its stakeholders.

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

No adverse orders were passed from regulatory authorities.

### Leadership Indicators

1. Details of public policy positions advocated by the entity:

IRFC a statutory body under the Ministry of Railways plays a significant role in funding the Indian Railways -"the national operator of railway system".

The Company represents its views through knowledge sharing systems, responses to surveys, feedback on industry needs, among others. The Company regularly interacts with Ministry of Railways, Department of Public Enterprises on various matters.

### PRINCIPLE 8

**Businesses should promote inclusive growth and equitable development**

### Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not Applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity.

Not Applicable

3. Describe the mechanisms to receive and redress grievances of the community.

Investors address their complaints / queries / requests to the Company or to Registrar & Transfer Agent or on the SEBI Scores system i.e., online redressal mechanism. The complaints / queries / requests received from the Investors are mostly in the nature of non-receipt of interest / dividend, non-receipt of bond certificates / non-credit of bonds through electronic mode in demat account, clarification on amount of interest/ dividend, updating of bank details, name correction on bond certificate, issue of fresh interest warrant / dividend warrant in lieu of mutilated warrant, delay in transfer / transmission of bonds, delay in issue of duplicate bond Certificate, rematerialization/dematerialization of shares etc. Complaints are resolved by Registrar and Transfer Agent and in some of the case(s) intervention of the Company is required such as clarification on calculation of interest, revalidation of interest warrant/ dividend warrant and issue of duplicate bond certificate, rematerialization of shares etc. the complaints are resolved within the stipulated time frame. Further, company ensures to protect the interest of its stakeholders.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

|                                              | FY 2023-24 | FY 2022-23 |
|----------------------------------------------|------------|------------|
| Directly sourced from MSMEs/ small producers | 77.52%     | 34.09%     |
| Directly from within India                   | 100%       | 100%       |

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

The Company is a NBFC having its registered office at New Delhi. Hence, this question has limited applicability. The Company is a CPSE, which follows guidelines of DPE.

### Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not Applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

| State              | Aspirational District | Amount spent (Rs. In Lakh) |
|--------------------|-----------------------|----------------------------|
| Assam              | Dhubri                | 5.00                       |
|                    | Goalpara              | 5.00                       |
|                    | Hailakandi            | 5.00                       |
| Bihar              | Aurangabad            | 4.32                       |
|                    | Begusarai             | 1.23                       |
|                    | Gaya                  | 1.85                       |
|                    | Nawada                | 1.23                       |
| Chhattisgarh       | Dantewada             | 1.62                       |
| Himachal Pradesh   | Chamba                | 17.60                      |
| Jammu & Kashmir    | Kupwara               | 66.91                      |
| Jharkhand          | Bokaro                | 16.66                      |
|                    | Garwaha               | 4.32                       |
|                    | Godda                 | 0.62                       |
|                    | Gumla                 | 9.20                       |
|                    | Hajaribagh            | 1.23                       |
|                    | Pakur                 | 1.85                       |
|                    | Palamu                | 33.94                      |
|                    | Ranchi                | 0.62                       |
| Karnataka          | Gadag                 | 13.99                      |
| Madhya Pradesh     | Damoh                 | 0.62                       |
|                    | Vidisha               | 5.00                       |
|                    | Shivpuri              | 1.23                       |
|                    | Sidhi                 | 0.62                       |
|                    | Singrauli             | 4.32                       |
| Maharashtra        | Jalgaon               | 9.64                       |
|                    | Osmanabad             | 18.04                      |
| Odisha             | Balangir              | 2.24                       |
|                    | Dhenkanal             | 2.24                       |
|                    | Koraput               | 2.24                       |
|                    | Naupada               | 2.24                       |
|                    | Nawarangpur           | 2.24                       |
|                    | Rayagada              | 7.24                       |
| Rajasthan          | Karauli               | 7.82                       |
| Uttar Pradesh      | Fatehpur              | 0.62                       |
|                    | Siddhartha Nagar      | 3.70                       |
| Uttarakhand        | Haridwar              | 12.82                      |
| West Bengal        | Birbhum               | 2.87                       |
|                    | Dinajpur              | 2.24                       |
|                    | Nadia                 | 6.99                       |
|                    | Purulia               | 4.32                       |
| <b>Grand Total</b> |                       | <b>310.66</b>              |

**3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/ No)**

The Company has in place, a Manual for Procurement of Goods, Services and Works, which provides guidelines to expedite decision making process by way of consolidating, simplifying and streamlining the various steps to be followed in the process of award of contracts from the procurement of goods, works & services as well as during its implementation on the ground.

**(b) From which marginalized /vulnerable groups do you procure?**

IRFC has made it mandatory to procure 100% of common use goods & services valuing upto ₹10 lakh from MSME vendors and also to allow price preference upto 50% to MSMEs, out of which 20% is reserved for SC/ ST and women entrepreneurs. The Company extends various facilities in its procurement procedures to registered MSMEs, such as supply of tender sets free of cost, exemption from payment of earnest money etc.

**(c) What percentage of total procurement (by value) does it constitute?**

IRFC has made it mandatory to procure 100% of common use goods & services valuing upto ₹10 lakh from MSME vendors and also to allow price preference upto 50% to MSMEs, out of which 20% is reserved for SC/ ST and women entrepreneurs. The Company extends various facilities in its procurement procedures to registered MSMEs, such as supply of tender sets free of cost, exemption from payment of earnest money etc.

**4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:**

Not Applicable

**5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.**

No adverse orders were passed in relation to intellectual property related disputes.

**6. Details of beneficiaries of CSR Projects:**

| S. No. | CSR Project                                                                                                                                                                                                                                                   | No. of persons benefited from CSR Projects | % of beneficiaries from vulnerable and marginalized groups |
|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|------------------------------------------------------------|
| 1.     | For Improvement of Infrastructure Equipment and solar rooftop system at 07 Andhra Pradesh Vaidya Vidhana Parishad Hospital (APVVP Hospital), 1 Area Hospital, 1 Government General Hospital (GGH) Medical College Located in Krishna District, Andhra Pradesh | ~10,000                                    | 100%                                                       |
| 2.     | Armed Force Flag Day Fund (AFFD) for Education and Welfare of Veterans, Widows and their dependents, New Delhi                                                                                                                                                | 2500                                       | 100%                                                       |
| 3.     | For procurement of one Ambulance for tribal people of Kanchanpur sub-division, North Tripura, Tripura                                                                                                                                                         | ~1000                                      | 100%                                                       |
| 4.     | For Public Healthcare program for prevention from vector-borne diseases to be achieved through " free distribution of long-lasting insecticidal net (LLIN) to the backward, under- privileged and marginalized population" at Nalanda, Bihar                  | 3500                                       | 100%                                                       |

| S. No. | CSR Project                                                                                                                                                                                 | No. of persons benefited from CSR Projects | % of beneficiaries from vulnerable and marginalized groups |
|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|------------------------------------------------------------|
| 5.     | For creation of Infrastructure facilities for Skin Banking and Microbiome services at AIIMS Bhubaneswar, Odisha                                                                             | ~5000                                      | 100%                                                       |
| 6.     | For development of Humanitarian activities by procurement of medical equipment for Red Cross Blood Bank at Mehsana and Patan District of Gujarat                                            | ~2000                                      | 100%                                                       |
| 7.     | For supply and installation of 265 solar street lights in various places of kaushambi, U.P.                                                                                                 | ~2000                                      | 100%                                                       |
| 8.     | For construction of Girls Hostel (65 Rooms/ G+7 Building) on double occupancy sharing for Nursing and Para Medical students of AIIMS Raebareli, U.P.                                        | ~1000                                      | 100%                                                       |
| 9.     | For setting up of 01 Operation Theatres at Sri Sathya Sai Heart Hospital, Ahmedabad, Gujarat                                                                                                | ~1000                                      | 100%                                                       |
| 10.    | For cardiac, Dental & Ortho projects Super speciality Building of Bharat Ratna Dr. Babasaheb Ambedkar Memorial Hospital Byculla Mumbai of Central Railway                                   | ~5000                                      | 100%                                                       |
| 11.    | For promoting sports culture by way of developing State of the art Cricket stadium to provide coaching and training facility to the youth at Kadi, Mehsana, Gujarat                         | ~1000                                      | 100%                                                       |
| 12.    | Community Health Centre (CHC) Shamlaji Hospital (Govt. of Gujarat) for procurement of ambulance to transfer critical patients from Shamlaji Hospital to higher centre for advance treatment | ~1000                                      | 100%                                                       |
| 13.    | To Support for Patient Assistance Program for under-privileged cancer patients at West Bengal                                                                                               | ~2500                                      | 100%                                                       |
| 14.    | For supporting 200 Ekal Vidyalaya's in Aspirational Districts of Uttar Pradesh, Uttarakhand, Himanchal Pradesh and Jammu and Kashmir                                                        | ~5000                                      | 100%                                                       |
| 15.    | For support to identified tribal students at Kalinga Institute of Social Sciences (KISS) Bhubaneswar, belonging to aspirational Districts of Odisha                                         | ~400                                       | 100%                                                       |
| 16.    | For setting up SCOT Research lab: Single Cell Omics Translational Research Laboratory at the Department of Medical Sciences and technology at IIT Madras, Chennai, Tamilnadu                | ~2000                                      | 100%                                                       |

**PRINCIPLE 9**

**Businesses should engage with and provide value to their consumers in a responsible manner**

**Essential Indicators****1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.**

IRFC a Govt. of India undertaking under the Ministry of Railways plays a significant role in funding the Indian Railways - "the national operator of railway system". The primary objective of IRFC is to meet the predominant portion of 'Extra Budgetary Resources' (EBR) requirement of the Indian Railways through market borrowings at the most competitive rates and terms. The Company's principal business therefore is to borrow funds from the financial markets to finance the acquisition / creation of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR like Rail Vikas Nigam Ltd, IRCON.

The objective of Fair Practice Code as per RBI guidelines covers in detail a grievance redressal mechanism for consumers to submit their complaints if any. IRFC has a single client business relationship with MoR thus the adoption of the Fair Practice Code lacks relevance in the context of IRFC and the Company has been granted exemption from adoption of Fair Practice Code from RBI.

**2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:**

|                                                             | As a percentage of total turnover |
|-------------------------------------------------------------|-----------------------------------|
| Environmental and social parameters relevant to the product | Not Applicable                    |
| Safe and responsible usage                                  | 100%                              |
| Recycling and/or safe disposal                              | Not Applicable                    |

Being a NBFC categorized as IFC, the main products offered by IRFC include is to finance the acquisition of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR. We lend funds to MoR and other Railway Entities in order to fuel their growth plan. We have provided loans to Rail Vikas Nigam Limited (RVNL) and IRCON. The details of leasing, lending and borrowings operations of the Company are available on the website of the Company at <https://irfc.co.in>.

**3. Number of consumer complaints in respect of the following:**

|                                | FY 2023-24               |                                   | Remarks | FY 2022-23               |                                   | Remarks |
|--------------------------------|--------------------------|-----------------------------------|---------|--------------------------|-----------------------------------|---------|
|                                | Received during the year | Pending resolution at end of year |         | Received during the year | Pending resolution at end of year |         |
| Data privacy                   | -                        | -                                 | -       | -                        | -                                 | -       |
| Advertising                    | -                        | -                                 | -       | -                        | -                                 | -       |
| Cyber-security                 | -                        | -                                 | -       | -                        | -                                 | -       |
| Delivery of essential services | -                        | -                                 | -       | -                        | -                                 | -       |
| Restrictive Trade Practices    | -                        | -                                 | -       | -                        | -                                 | -       |
| Unfair Trade Practices         | -                        | -                                 | -       | -                        | -                                 | -       |
| Other                          | -                        | -                                 | -       | -                        | -                                 | -       |

**4. Details of instances of product recalls on account of safety issues:**

Not Applicable

**5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.**

The Company has a comprehensive risk management policy which essentially covers cyber security and related aspects. The policy is an internal document of the Company.

**6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.**

Not Applicable

**7. Provide the following information relating to data breaches:**

- a. Number of instances of data breaches : Nil
- b. Percentage of data breaches involving personally identifiable information of customers: Nil
- c. Impact, if any, of the data breaches : Nil

## Leadership Indicators

**1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).**

Being a NBFC categorized as IFC, the main products offered by IRFC include is to finance the acquisition of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR. We lend funds to MoR and other Railway Entities in order to fuel their growth plan. We have provided loans to Rail Vikas Nigam Limited (RVNL) and IRCON. The details of leasing, lending and borrowings operations of the Company are available on the website of the Company at <https://irfc.co.in>.

**2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.**

The main products offered by IRFC include is to finance the acquisition of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR. We lend funds to MoR and other Railway Entities to fuel their growth plan. We have provided loans only to Rail Vikas Nigam Limited (RVNL) and IRCON, These entities falls under the Ministry of Railways. Thus, considering the business activities of the Company, this question has limited applicability.

**3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.**

The Company has a comprehensive risk management Policy which essentially covers cyber crisis management plan. Any disruption on IT services will be reported to the stakeholders as per the directives of RBI's Master Direction of IT Framework for NBFCs.

**4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)**

IRFC a Govt. of India undertaking under the Ministry of Railways plays a significant role in funding the Indian Railways -"the national operator of railway system". The primary objective of IRFC is to meet the predominant portion of 'Extra Budgetary Resources' (EBR) requirement of the Indian Railways through market borrowings at the most competitive rates and terms. The Company's principal business therefore is to borrow funds from the financial markets to finance the acquisition / creation of rolling stock assets, leasing of railway infrastructure assets, and lending to other entities under the MoR like Rail Vikas Nigam Ltd, IRCON.